

CBSE Class 12 Accountancy

Mock Test: Retirement of a Partner

Instructions:

- Total Marks: 50 | Time Allowed: 1.5 Hours
- All questions are compulsory.
- Section A: 10 MCQs (1 mark each)
- Section B: 4 Short Answer Questions (10 marks total)
- Section C: 2 Long Answer Questions (10 marks total)
- Section D: 2 Practical Problems (20 marks total)

Section A: Multiple Choice Questions

1. On retirement of a partner, the revaluation of assets and liabilities is done to: [1]

- a) Determine the new profit-sharing ratio
- b) Adjust the values to current market prices
- c) Calculate goodwill
- d) Distribute reserves

2. Goodwill on retirement is adjusted by: [1]

- a) Crediting the retiring partner and debiting remaining partners
- b) Debiting the retiring partner and crediting remaining partners
- c) Sharing in the new ratio
- d) Sharing in the old ratio

3. The gaining ratio is calculated as: [1]

- a) Old ratio - New ratio
- b) New ratio - Old ratio
- c) Old ratio + New ratio
- d) None of the above

4. Accumulated profits on retirement are transferred to: [1]

- a) Remaining partners in new ratio
- b) Remaining partners in old ratio
- c) Retiring partner only
- d) All partners in old ratio

- 5. Journal entry for payment of Rs. 1,00,000 to retiring partner (debit balance Rs. 20k):** [1]
- a) Debit Retiring Partner's Cap Rs. 1,00,000, Credit Cash Rs. 1,00,000
 - b) Debit Cash Rs. 1,00,000, Credit Retiring Partner's Cap Rs. 1,00,000
 - c) Debit Retiring Partner's Cap Rs. 20,000, Credit Cash Rs. 20,000
 - d) Debit Cash Rs. 20,000, Credit Retiring Partner's Cap Rs. 20,000
- 6. Which account records changes in asset/liability values?** [1]
- a) P&L A/c b) Revaluation A/c c) Goodwill A/c d) Capital A/c
- 7. Loss on revaluation (downward revaluation) is debited to:** [1]
- a) Retiring Partner b) New Ratio c) Old Ratio d) Revaluation A/c
- 8. Retiring partner's share of goodwill is:** [1]
- a) Credited to Capital b) Debited to Capital c) Shared by remaining d) Ignored
- 9. The balance sheet is prepared after:** [1]
- a) Revaluation b) Goodwill adj c) All adjustments d) None
- 10. If new ratio is 3:2, the gaining ratio is:** [1]
- a) 3:2 b) 2:3 c) 1:1 d) Depends on old ratio

Section B: Short Answer Questions

- 11. Define 'gaining ratio' and its significance.** [3]
- 12. Purpose of revaluation and two examples of items.** [3]
- 13. Explain the treatment of goodwill on retirement.** [2]
- 14. Differentiate between retirement and death.** [2]

Section C: Long Answer Questions

- 15. Describe the accounting treatment for retirement (steps and accounts).** [5]
- 16. Explain adj. for accumulated reserves and profits.** [5]

Section D: Practical Problems

17. A, B, C ratio 4:3:3. C retires. New ratio A:B is 5:3. Firm Goodwill Rs. 90,000. Pass Journal Entries.

[5]

18. Balance Sheet Analysis

[15]

X, Y, Z Balance Sheet (31st March 2023):

Liabilities	Amount	Assets	Amount
X's Capital	1,00,000	Fixed Assets	2,00,000
Y's Capital	80,000	Stock	50,000
Z's Capital	50,000	Debtors	40,000
Creditors	80,000	Cash	20,000
Total	3,10,000	Total	3,10,000

Z retires. Revaluation: Fixed Assets Rs. 2,20,000, Stock Rs. 45,000. Creditors Rs. 85,000. Goodwill Rs. 1,00,000. Z paid Rs. 60,000 in cash. Prepare Revaluation A/c, Capital A/cs, and Balance Sheet.

Answer Key & Solutions

Section A: MCQs

1(b), 2(a), 3(b), 4(d), 5(a), 6(b), 7(c), 8(a), 9(c), 10(d)

Section D: Key Numerical Results

Q17: Gaining Ratio Calculation:

A gains: $\frac{5}{8} - \frac{4}{10} = \frac{9}{40}$ | B gains: $\frac{3}{8} - \frac{3}{10} = \frac{3}{40}$. Gaining Ratio = 3:1.

C's Share of Goodwill = $90,000 * \frac{3}{10} = 27,000$.

Entry: A's Cap Dr 20,250; B's Cap Dr 6,750 to C's Cap 27,000.

Q18: Revaluation Profit/Loss:

Gain on FA: 20,000 (Cr). Loss on Stock: 5,000 (Dr). Loss on Creditors: 5,000 (Dr).

Net Profit on Revaluation: Rs. 10,000. Shared in 4:3:3 -> X: 4k, Y: 3k, Z: 3k.